third Round Table Conference was his effort to save India's gold reserves. He was firmly of the view that at least ₹45 crores worth of gold should be the minimum gold reserve maintained by the future RBI.

Part II deals with the RBI. The genesis of central banking in India and events leading to the formation of the RBI are discussed in some detail. The RBI was established in 1935 but there were attempts to pass legislation for its establishment in 1927 and 1928. However, both the Bills failed ostensibly as a result of differences in the Legislature on the question of ownership and directorate of the bank. The government wanted a shareholders' bank whereas the legislators wanted State ownership. This is the official view in the history of the RBI but later research, notably by Rajul Mathur and G. Balachandran, shows that the delay in the formation of the RBI was a result of stalling by the India Office who wanted to retain control of money and finance once the reforms under the Government of India Act, 1935, took effect. The issue of a gold standard for India seems to have been of paramount importance to the India Office. When Sir Basil Blackett, the Finance Member, while introducing the Gold Standard and Reserve Bank Bill in 1927, admitted that he favoured a gold *mohur* for India, he greatly angered the Secretary of State, Lord Birkenhead, who doubted if Blackett could pilot the Bill in a manner which would be in the best British interests. A Reserve Bank Bill was finally drafted and introduced in the Legislature in September 1933. It was passed in December and received the assent of the Governor General in March 1934. Even as the RBI was being set up, efforts were being made to ensure that London would retain its control over India's monetary affairs. The Board and staff of the bank were to be selected to ensure that the new institution would subserve British interests. Also, in an unprecedented limiting of freedom, the 1s 6d rate was written into the Statute-book with the bank having no powers to change it.

The bank which started functioning on April 1, 1935, had Sir Osborne Arkell Smith as its first Governor. Smith's tenure was a short and controversial one. He resigned in October 1936, but was deemed to be on official leave till the end of June 1937. His face-off with Sir James Grigg, the Finance Member, and his own Deputy Governor Sir James Taylor, both of whom belonged to the Indian Civil Service (ICS), led to his finally being eased out of the bank. Grigg who was known for his abrasive personality,